

CARMA

Executive Summary

1. Overview

CARMA is a road-safety platform designed to encourage safer driving through positive incentives rather than penalties. Its goal is to turn everyday driving behavior into a measurable and rewarding experience, with an initial focus on young drivers, a population that is both highly exposed to road risk and highly engaged with mobile technology.

The platform uses the driver's smartphone to monitor driving behavior without requiring dedicated hardware to be installed in the vehicle. Using GPS and motion-sensor data, CARMA evaluates key safety-related behaviors, including phone distraction, speeding, hard braking, aggressive acceleration, and sharp cornering. Each trip is translated into a **CARMA Score**, ranging from 0 to 100, which provides the driver with clear feedback on driving quality. Safer driving also earns **CARMA Points**, creating a direct link between improved driving habits and tangible rewards.

These points can be redeemed through CARMA's marketplace for benefits offered by participating businesses. This creates a two-sided value proposition: drivers receive meaningful incentives for safer behavior, while businesses gain a new channel for customer acquisition, engagement, and positive social impact. Participating businesses are supported by a dedicated web portal for managing rewards, validating redemptions, reviewing redemption activity, and managing team access.

By combining smartphone-based driving measurement, behavioral feedback, gamification, and real-world rewards in a single ecosystem, CARMA aims to make safe driving not only a responsibility, but a behavior that is continuously recognized and rewarded.

2. The Problem, Target Audience & Need Validation

The Problem

Road accidents remain a major public-safety challenge in Israel. In 2025, 459 people were killed in road accidents, while the number of fatal crashes increased to 438. Despite advances in vehicle safety, infrastructure, and enforcement, risky driver behavior remains a critical part of the road-safety challenge.

CARMA focuses on driving behaviors that can be measured and improved, including mobile-phone distraction, speeding, hard braking, aggressive acceleration, and sharp cornering. Mobile-phone distraction is particularly relevant in a highly connected population: the Israel National Road Safety Authority cites research showing a strong association between mobile-phone use while driving and increased crash risk.

Many existing road-safety mechanisms are based primarily on enforcement, penalties, education, or consequences after unsafe behavior has already occurred. CARMA approaches the problem from a different direction: rather than asking how unsafe driving can be punished, it asks how safer driving can become more rewarding.

Primary Target Audience

CARMA's initial target audience is **young drivers, approximately ages 17–24**.

This group was selected not only because of its natural fit with a mobile-first product, but primarily because it represents a significant road-safety challenge. The Israel National Road Safety Authority defines young drivers as drivers up to age 24. In 2025, 155 young drivers were involved in fatal crashes, 20% above the 2022–2024 average, and 58 young drivers were killed on Israeli roads.

Young drivers are also at a stage where long-term driving habits are still developing, making them a strong fit for CARMA's feedback, gamification, and positive-reinforcement approach. While CARMA can ultimately serve a broader driver population, focusing initially on young drivers allows us to address a clearly defined, high-impact segment.

Need and Demand Validation

CARMA has been developed alongside early market and business validation. The team examined the value proposition from both sides of the ecosystem: drivers' interest in receiving tangible rewards for safer driving, and businesses' willingness to offer benefits in exchange for customer exposure and engagement.

This validation helped confirm that CARMA addresses not only a road-safety problem, but also a meaningful incentive opportunity for drivers and a potential customer-engagement channel for participating businesses.

3. Product & Value Proposition

CARMA connects driving behavior with real-world rewards through an integrated mobile and web platform. The product is built around a simple cycle:

drive → receive feedback → earn points → redeem rewards.

Driver Mobile App

Drivers use the CARMA mobile application during their everyday trips. The smartphone collects driving data and sends it to CARMA's scoring system, which evaluates key safety-related behaviors and produces a **CARMA Score**.

After each trip, drivers can review their performance and track their progress over time. The application combines the driving score with additional engagement mechanisms, including accumulated points, driving streaks, levels, trip history, and leaderboards. The purpose is to make improvement visible and to provide an ongoing reason to maintain safer driving habits.

Safe driving earns **CARMA Points**, which act as CARMA's internal reward currency. Drivers can use these points in the CARMA marketplace to select benefits offered by participating businesses. Once a reward is selected, the system creates a digital voucher that can be presented and redeemed at the business.

The result is a clear value proposition for drivers: **safer driving generates measurable progress and tangible economic value**, without requiring additional hardware or changing the way they normally use their vehicle.

Business Web Portal

CARMA's second product layer is a dedicated web portal for participating businesses.

Businesses can create and manage the rewards they offer through CARMA, control their availability, validate customer redemptions, review redemption activity, and manage their business profile. The portal also supports different staff roles and permissions, allowing business owners to provide employees with access appropriate to their responsibilities.

For businesses, CARMA turns a discount or benefit into a targeted customer-engagement mechanism. Instead of offering a promotion to an anonymous audience, the business participates in an ecosystem in which the benefit is connected to a positive behavior and gives the customer a reason to visit the business in order to redeem it.

This creates value beyond the individual transaction: businesses can attract new customers, encourage physical visits, strengthen customer engagement, and associate their brand with a road-safety initiative.

Two-Sided Value Creation

CARMA creates mutual value: meaningful rewards motivate drivers to improve, while an engaged driver community gives businesses a targeted customer-engagement channel. This connects safer driving directly with value for both drivers and participating businesses.

4. Innovation & Key Advantages

CARMA combines four elements into one integrated road-safety platform:

- **Smartphone-based measurement:** driving behavior is monitored using the driver's existing phone, with no dedicated hardware required.
- **Server-side scoring:** driving data is analyzed to produce a consistent CARMA Score based on five key safety behaviors.
- **Positive reinforcement:** instead of relying only on penalties, CARMA motivates safer driving through feedback, progression, and rewards.
- **Real-world incentives:** CARMA Points can be redeemed for benefits from participating businesses, connecting safer driving directly with tangible value.

CARMA's main advantage is the integration of these elements into a single continuous experience. Instead of measuring driving behavior as an isolated telematics function, CARMA connects measurement directly to motivation and real-world value, creating an incentive structure that benefits both drivers and participating businesses.

5. Competitors & Alternative Solutions

Before developing CARMA, we examined existing driving-monitoring solutions. Most of them track driving behavior, but they do so for different purposes.

Insurance companies use telematics mainly to assess risk and adjust insurance pricing. The driver's incentive is usually a lower insurance premium, which may not always feel immediate or meaningful, especially for young drivers.

Apps such as Letstop reward drivers for avoiding mobile-phone use while driving, typically through an internal digital currency. However, they focus mainly on a single behavior rather than overall driving quality.

CARMA takes a broader approach. Its goal is to promote a culture of safer driving by measuring multiple driving behaviors and rewarding overall driving quality with **immediate, real-world benefits from participating businesses**.

6. Target Market & Market Potential

CARMA's initial market is young drivers in Israel. Today, there are approximately **765,000 drivers aged 24 and under**, creating a substantial and clearly defined initial market.

On the business side, CARMA can work with retailers, food and beverage businesses, leisure venues, and other consumer-facing merchants seeking to attract and engage customers through rewards. This creates a scalable two-sided market in which growth in the driver community increases the platform's value to participating businesses, and a larger rewards network increases its value to drivers.

7. Go-to-Market Strategy

CARMA's go-to-market strategy is built in three stages.

Stage 1: Reach the first **100 users** within one month through friends, personal networks, and the immediate community.

Stage 2: Launch a focused municipal pilot during the first six months to measure real-world impact, gather feedback, and improve the model.

Stage 3: Expand to additional cities, apply the lessons from the pilot, and introduce structured viral growth mechanisms, with a target of reaching **10,000 users**.

8. Team & Responsibilities

CARMA is developed by a multidisciplinary team combining business, product, software, and technology expertise.

- **Shaun Faber, CEO:** Business development, partnerships, go-to-market strategy and end-to-end development of the business web platform.
- **Dan Ofri, CPO:** Product strategy, scoring logic, product roadmap, and feature prioritization.
- **Naveh Tzvaig, CTO:** System architecture, backend infrastructure, data flows, and overall technical quality.
- **May Hajbi, Mobile & Frontend Lead:** Mobile application development, user experience, and integration with smartphone sensors.

The team's complementary responsibilities enable CARMA to develop its product, technology, and business model in parallel.